

Paradiem 

The Morning Brief

SEPTEMBER 1, 2026

Physical Bid

Iran-retaliation oil surge and an overnight supertanker mine strike in Hormuz kept the energy sleeve alone in the green as ISM Manufacturing, JOLTS, and CRDO fiscal Q1 sequence the September rate-decision distribution today.

S&P 500 (SPY, MON CLOSE)	WTI OIL (USO, MON CLOSE)	BRENT (OVERNIGHT)	BITCOIN (LIVE)	FEAR & GREED
\$767.05 · ↓0.30%	\$133.70 · ↑3.08%	~\$91.28 · ↑~0.9% overnight	~\$78,400 · \$77.2k– \$79.2k range	~50 · Neutral (CNN; drop crypto fallback)

SECTION 01

Markets — Energy Sat Alone in the Green Monday as the Iran-Retaliation Oil Bid Compounded on an Overnight Supertanker Mine Strike in Hormuz; ISM Manufacturing, JOLTS, and Credo's Fiscal Q1 Sequence the September Rate-Decision Distribution Today

MONDAY'S TAPE: A NARROW ENERGY-ONLY BID AGAINST BROAD SECTOR COMPRESSION — THE S&P HELD WITHIN A THIRD OF A PERCENT AS THE PHYSICAL-SUPPLY VARIABLE RAN ALONE AHEAD OF THE FULL DATA CADENCE

Per data drop, S&P 500 (SPY) closed ↓0.30% at \$767.05, the Dow (DIA) ↓0.65% at \$531.57, and the Russell 2K (IWM) ↓0.62% at \$293.93 while the Nasdaq (QQQ) held roughly flat ↑0.05% at \$716.76 — the composite Iran-retaliation-and-hawkish-Warsh read compressed the tape through the Monday session without triggering a broader capitulation, and the UVXY VIX proxy closed ↓2.60% at \$17.97 despite the risk-off headline sequence. Per data drop sector reads, Energy (XLE) sat alone in the green at ↑2.04%, Tech (XLK) held ↑0.44%, and every other sector printed negative with Communication Services (XLC) ↓1.35%, Utilities (XLU) ↓1.17% (dragged by the Edison International (EIX) ↓23% California-wildfire-liability shock captured in the Radar), and Industrials (XLI) ↓1.13%. Per CNBC and Barchart coverage of the overnight sequence, September S&P 500 E-mini futures traded roughly flat-to-modestly softer with the Dow contract off approximately 0.6%, and per Trading Economics and Reuters coverage of the Brent tape, November delivery moved to approximately \$91.28 (↑~0.87%) on the composite Iran-retaliation and Hormuz supertanker-mine-strike read compounding on Monday's USO ↑3.08% (\$133.70) and BNO ↑2.64% (\$52.84) closes. For FCI positioning, the composition — a narrow Energy-only session tape against broad sector compression with the physical-supply variable running through the front of the book — sets the sleeve reading through the ISM Manufacturing and JOLTS release cadence at 10:00 AM ET this morning and the Credo (CRDO) fiscal Q1 release after the close.

S&P 500 (SPY, MON CLOSE)	\$767.05 · ↓0.30%
ENERGY (XLE, MON CLOSE)	\$63.96 · ↑2.04%
UTILITIES (XLU, MON CLOSE)	\$42.23 · ↓1.17% (EIX drag)
WTI OIL (USO)	\$133.70 · ↑3.08%
10Y UST YIELD	~4.76% · up ~1 bp overnight
SEPT HIKE ODDS (CME)	~57–60% · post-Warsh reset

TODAY'S CADENCE: ISM MANUFACTURING PMI, JOLTS JOB OPENINGS, AND JULY CONSTRUCTION SPENDING LEAD THE SESSION; CREDO FISCAL Q1 AFTER THE CLOSE IS THE FIRST FCI CUSTOM-SILICON READ AHEAD OF BROADCOM'S WEDNESDAY PRINT

Per ISM release calendar and Investing.com previews, the ISM Manufacturing PMI publishes at 10:00 AM ET with sell-side consensus near 55.2 versus the July reading of 55.6, the JOLTS Job Openings & Labor Turnover Survey also at 10:00 AM ET with consensus near 7.33 million versus the prior 7.36 million, and July construction spending alongside — the incremental Day-1 read into the four-session labor-market cadence that closes with the August Employment Report Friday. Per Seeking Alpha and Benzinga coverage of the after-

close release calendar, Credo Technology (CRDO, FCI Growth-Hybrid sleeve) reports fiscal Q1 with sell-side consensus centered on approximately \$1.19 EPS following Monday's ↓2.82% pre-earnings positioning to \$226.19, and Dell Technologies (DELL, not held by FCI) reports with consensus near \$5.01 EPS — both custom-silicon-and-AI-server reads ahead of Broadcom's (AVGO, not held by FCI) fiscal Q3 release Wednesday after the close on approximately \$29.4 billion of total revenue and \$16 billion of AI-semiconductor revenue per BigGo Finance and Tickeron previews. Per Federal Reserve calendar, the September 15–16 FOMC sits fourteen calendar days out from today's cash open and eleven calendar days from Friday's payrolls print. For FCI positioning, the composition — a Day-1 labor-market read layered against the CRDO custom-silicon print tonight and Wednesday's AVGO release into an active Middle East retaliation sequence and a supertanker mine strike overnight — sequences the September rate-decision distribution against three orthogonal axes rather than any single storyline.

A Monday tape that held the S&P within a third of a percent while oil ran alone against broad sector compression tends to sequence the incremental data-and-earnings prints through a physical-supply-plus-front-end-rate frame rather than the multiple. Physical world matters.

Geopolitics — The IRGC Retaliation on the King Hussein and Al Azraq US Bases in Jordan Extended Overnight With an Unclaimed Supertanker Mine Strike in the Strait of Hormuz, Jordan Intercepted Eight Iranian Missiles, Trump’s AI-Generated Kharg Island Post Was Framed by Vice President Vance as a Communication Signal, and Bessent Reaffirmed a Weekly Secondary-Sanctions Cadence Into the Full US-Iran Kinetic Reactivation

A SUPERTANKER STRUCK TWO NAVAL MINES AND CAUGHT FIRE IN THE STRAIT OF HORMUZ’S SOUTHERN LANE OVERNIGHT AFTER THE IRGC BALLISTIC-MISSILE-AND-DRONE ATTACK ON US BASES IN JORDAN — JORDAN INTERCEPTED EIGHT MISSILES, AND IRAN’S KHARG FACILITY OPERATORS PUBLICLY DISMISSED THE TRUMP AI-GENERATED VIDEO

Per Insurance Journal, OilPrice, and Times of Israel coverage of the Sunday-into-Monday sequence, Iran’s Revolutionary Guards claimed an unidentified supertanker struck two naval mines and caught fire in the southern lane of the Strait of Hormuz — the IRGC did not provide evidence and independent sources had not confirmed the cause at time of reporting; per Al Jazeera and The Hill coverage of the IRGC combined ballistic-missile-and-drone operation the IRGC labeled “Punishment of the Aggressor,” the attack targeted the King Hussein and Al Azraq US air bases in Jordan and Jordan reported intercepting approximately eight missiles soon after the IRGC announcement, and Iran separately targeted US forces and helicopters at an air base in the UAE per NPR and NewArab coverage. Per Al Jazeera coverage of the Sunday US operation on Larak Island, US Central Command bombed two IRGC rocket launchers observed preparing to fire rockets carrying naval mines into the strait — the first US kinetic action against Iranian targets in more than a month after roughly a month of relative calm. Per Reuters coverage cited in the data drop headlines, Vice President Vance framed President Trump’s Sunday AI-generated Kharg Island video as a communication signal to Tehran, and per Al Jazeera coverage of Iranian oil-official Hamid Bovard, Iranian authorities dismissed the post as posture with conditions at Kharg described as calm and no confirmed strike. Per Trading Economics and Reuters coverage of the Brent tape response, Brent for November delivery moved to approximately \$91.28 (↑~0.87%) with WTI topping \$85 as the composite physical-supply variable ran through the overnight session. For FCI positioning, the composition — a Sunday US kinetic strike, an IRGC retaliation on US bases in Jordan and the UAE, an overnight supertanker mine strike in Hormuz’s southern lane, and an AI-generated Kharg communication signal from the White House — keeps the FCI energy sleeve (CVX, CNX, OKE) at the intersection of the physical-friction floor and the reactivated US-Iran military-exchange axis and puts Monday’s ↑2.04% XLE session move at the front of the sleeve read.

TREASURY SECRETARY BESSENT REAFFIRMED THE WEEKLY US SECONDARY-SANCTIONS CADENCE ON IRAN-LINKED ENTITIES AND THE FED-INDEPENDENCE OVERHANG FROM CHAIR WARSH’S JACKSON HOLE TASK-FORCE REFERENCE PERSISTS INTO THE SEPTEMBER 15–16 FOMC

Per Reuters coverage cited in the data drop headlines carried forward from Saturday and Monday, Treasury Secretary Bessent reaffirmed that new US secondary sanctions on Iran-linked entities should be expected on approximately a weekly cadence — a widening of the enforcement perimeter that continues to sit alongside the Egyptian and Emirati bank-branch designations captured in prior briefs. Per Federal Reserve release of Chair Warsh’s Friday Jackson Hole keynote and per Motley Fool coverage of the market response, the reference to a Fed-Treasury balance-sheet framework task

force continues to sit alongside the Bessent-Warren public exchange on Japanese yen intervention posture, and September rate-hike probabilities have settled near approximately 57–60% per CME FedWatch coverage against the roughly 35% pricing pre-Warsh — Warsh noted that headline inflation has sat above the 2% target for approximately 65 months. Per FXStreet coverage of the dollar tape, the DXY traded near approximately 99.6 overnight as the composite Iran-and-hawkish-Warsh read provided defensive demand. For FCI positioning, the composition — a weekly Iran secondary-sanctions cadence, a persistent Fed-independence overhang from Warsh’s Jackson Hole reference, and a firm dollar bid against the physical-supply variable — extends the trade-and-geopolitical compound the sleeve has been reading through

the third quarter and into the fourth ahead of the September 24 Trump-Xi Washington summit captured in prior briefs.

UKRAINE'S DEEP-RANGE DRONE CAMPAIGN AGAINST RUSSIAN REFINERIES CONTINUES IN THE BACKGROUND AS RUSSIAN REFINING SITS NEAR MULTI-DECADE LOWS AND THE DIESEL EXPORT BAN REMAINS EXTENDED

Per prior brief coverage of the Ukrainian deep-strike campaign carried forward through the Monday-into-Tuesday sequence, Ukrainian forces continue the deep-range refinery campaign that struck the Kirishi (Leningrad Oblast) refinery over the prior weekend — the country's second-largest by capacity with an approximate 20-million-tonne annual processing capacity — and Russian oil refining has fallen to approxi-

ately 3.8 million barrels per day per Moscow Times coverage cited in the Saturday brief, approaching the lowest level in more than two decades. Per Ukrainska Pravda coverage of the Russian policy response, the Russian diesel export ban remains extended. For FCI positioning, the composition — a two-sided physical-friction expression across the Iran and Russia axes with the Middle East axis now the front-of-book variable after the Sunday US strike and the overnight supertanker mine event — keeps the FCI energy sleeve reading through the intersection of physical supply, the reactivated Iran military-exchange axis, and the September rate-hike distribution.

SECTION 03

On Our Radar

1. Edison International (EIX, FCI Growth-Hybrid Sleeve) — Shares Closed ↓23.07% at \$53.98 Monday, the Largest Single-Day Decline in More Than Two Decades, After the California State Assembly Amended SB 492 Over the Weekend and Removed the Investor-Owned-Utility Wildfire-Liability Cap Provisions; Mizuho Cut to Neutral With a Price Target Trimmed to \$70 From \$86. Per Benzinga, Motley Fool, and 24/7 Wall St. coverage of the Monday session, EIX closed ↓23.07% at \$53.98 — the company's worst single-session move since 2001 — after the California State Assembly amended Senate Bill 492 over the weekend and stripped out provisions that would have capped or shielded investor-owned utilities from wildfire-related liability costs, and per AskTraders and Cryptonomist coverage of the sell-side response, Mizuho cut its rating to Neutral and lowered its price target to \$70 from \$86 as fresh concerns about Edison's exposure to billions of dollars in potential wildfire-related claims reignited the framework that pushed PG&E into bankruptcy in 2019. Per data drop, PG&E (PCG, not held by FCI) sold off in sympathy and the Utilities sector (XLU) closed ↓1.17% on the composite California-regulatory read. For FCI positioning, the composition — a discrete single-name California-regulatory shock to a Growth-Hybrid utilities holding with a widened distribution of forward liability outcomes — sits as the incremental sleeve read into the ISM-and-JOLTS release cadence at 10:00 AM ET this morning rather than a broader utility-sector signal.

2. Oil Complex Held the Iran-Retaliations Bid Into Tuesday — A Supertanker Struck Two Naval Mines and Caught Fire in the Southern Lane of the Strait of Hormuz Overnight; USO Closed Monday ↑3.08% at \$133.70 and Brent for November Delivery Traded to Approximately \$91.28 (↑~0.87%). Per Insurance Journal, OilPrice, and Times of Israel coverage of the overnight Hormuz supertanker mine event, Iran's IRGC claimed an unidentified vessel struck two mines in the southern lane and caught fire — the IRGC did not provide evidence and independent sources had not confirmed the cause at time of reporting; per Trading Economics coverage of the Brent tape, November delivery moved to approximately \$91.28 (↑~0.87%) and per data drop closes, USO ended Monday ↑3.08% at \$133.70, BNO ↑2.64% at \$52.84, and UNG ↑2.03% at \$10.54. Per FCI holding-level reads, CVX closed ↑2.12% at \$206.14, OKE ↑1.32% at \$96.01, and CNX ↑0.50% at \$36.38 — the sleeve's intersection with the physical-supply variable. For FCI positioning, the composition — a Sunday US strike, an IRGC retaliation on US bases in Jordan and the UAE, and an overnight Hormuz supertanker mine strike compounding on the Ukraine-Russia refinery axis — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through the intersection of physical supply, the reactivated Iran military-exchange axis, and the September rate-hike distribution.

3. Today's Session Cadence — ISM Manufacturing PMI (Consensus ~55.2) and JOLTS Job Openings (Consensus ~7.33M) Publish at 10:00 AM ET, With July Construction Spending Alongside; Credo Technology (CRDO, FCI Growth-Hybrid Sleeve) Reports Fiscal Q1 After the Close Ahead of Broadcom's Fiscal Q3 Release Wednesday. Per ISM

release calendar and Investing.com previews, the ISM Manufacturing PMI publishes at 10:00 AM ET with sell-side consensus near 55.2 versus the July print of 55.6, JOLTS Job Openings at 10:00 AM ET with consensus near 7.33 million versus prior 7.36 million, and July construction spending alongside — the Day-1 read into the four-session labor-market cadence that closes with the August Employment Report Friday. Per Seeking Alpha and Benzinga previews, Credo Technology (CRDO, FCI Growth-Hybrid) reports fiscal Q1 after the close with sell-side consensus centered on approximately \$1.19 EPS after Monday's ↓2.82% pre-earnings positioning to \$226.19, and Dell Technologies (DELL, not held by FCI) reports with consensus near \$5.01 EPS; per BigGo Finance and Tickeron coverage, Broadcom (AVGO, not held by FCI) fiscal Q3 releases Wednesday after the close on approximately \$29.4 billion of total revenue and \$16 billion of AI-semiconductor revenue — the incremental custom-silicon-hyperscaler read after the NVDA beat-and-raise August 27 and the MRVL sequential-timing compression August 28. For FCI positioning, the composition — a Day-1 labor-market print sequenced against the CRDO custom-silicon release tonight and Wednesday's AVGO print into an active Middle East retaliation sequence — keeps the sleeve reading through three orthogonal axes into the September 15–16 FOMC.

4. Digital-Asset Tape Reversed Higher on Monday Despite the Iran-Retaliations Risk-Off Read — IBIT Closed ↑1.75% at \$44.67 and ETHA ↑1.91% at \$18.72; Bitcoin Held a \$77.2k–\$79.2k 24-Hour Range Overnight With HYPE Leading the Alt Complex on Hawkish-Fed Bets Per CoinDesk. Per data drop, the FCI digital-asset ETF sleeve reversed

the prior week's Warsh-related compression with IBIT ↑1.75% at \$44.67 and ETHA ↑1.91% at \$18.72 despite the Iran-retaliations risk-off headline sequence, and per CoinDesk overnight coverage of the 24-hour tape, Bitcoin held a range of approximately \$77,200–\$79,200 with HYPE leading the alt-complex bid on hawkish-Fed-bet framing. Per data drop, HOOD closed ↑0.53% at \$104.81 and MARA ↑0.94% at \$10.77 as the fintech-and-miner sleeve stabilized after Friday's reversal, while HUT closed ↓0.98% at \$78.64 on the residual post-Warsh compression. For FCI positioning, the composition — a digital-asset ETF sleeve that traded independently of the equity-and-oil tape on Monday — keeps the IBIT and ETHA expressions reading through the September rate-decision distribution rather than the incremental payments-and-policy Jackson Hole framing captured earlier in the week.

5. Carson's SPY \$645.80 Support Remains Active — Monday's \$764.72 Intraday Low Left the Level Untouched and Sits Approximately 15.8% Below the SPY \$767.05 Cash Close; No Active Resistance Levels on the Book Following the April 14 Major-Zone Breakout. Per levels.json,

Carson's active SPY support at \$645.80 remained untouched through Monday's \$764.72–\$768.00 SPY intraday range per data drop and sits approximately 15.8% below the last cash-market print at \$767.05. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With today's cash open sequencing the ISM-and-JOLTS release at 10:00 AM ET into the CRDO fiscal Q1 print after the close and the AVGO release Wednesday, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 69 "Greed" reflects the CNN endpoint falling back to the crypto index; per MacroMicro CNN Fear & Greed coverage as of September 1, the CNN stock-market reading sat near approximately 49.6 "Neutral" — treat as approximate for this brief.

6. Sector Composition Monday Read Narrow — XLE Sat Alone in the Green at ↑2.04%, XLK Held ↑0.44% on the QCOM ↑3.83% / FTNT ↑2.97% / NOW ↑2.27% / AMD ↑1.10% / NVDA ↑1.48% Composite, and Every Other Sector Printed Negative; Citadel's Public Framing Highlighted the Historically Difficult September Seasonal Setup. Per data drop, the FCI Top-5 movers Monday were QCOM

↑3.83% (\$170.48), FTNT ↑2.97% (\$170.93), NTR ↑2.75% (\$75.53), NOW ↑2.27% (\$147.99), and CVX ↑2.12% (\$206.14); the Bottom-5 were EIX ↓23.07% (\$53.98), YMM ↓3.86% (\$8.47), CRDO ↓2.82% (\$226.19), MRVL ↓2.29% (\$211.66), and GD ↓2.10% (\$371.35). Per CNBC coverage cited in the data drop headlines characterizing Citadel's Monday public framing, the risk-reward outlook for stocks is characterized as deteriorating into a historically difficult September seasonal setup, and per CNBC coverage of the mortgage-rate tape, US mortgage rates surged to the highest level since June 2025 on the composite Middle-East-and-oil read. For FCI positioning, the composition — a narrow sector-level bid concentrated in Energy and select AI-semiconductor and cybersecurity names against broad compression — keeps the sleeve reading through the intersection of the physical-supply variable and the AI-compute leg into the ISM-and-JOLTS release this morning.